Chapter 8 | Practice Questions

Receivables and bad debt expense

Report to me (yu10j@cmich.edu) if you spot critical errors.

Set 1 | Estimating and Writing Off Bad Debts INDEPENDENT One transaction per view.

a. At the end of June, bad debt expense is estimated to be **$14,000**.
b. In July, customer balances are written off in the amount of **$7,000**.

Q1. **a.** At the end of June, bad debt expense is estimated to be $14,000. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	14,000	
(b) _____		14,000

Choose the account for each blank:

A. Bad Debt Expense
B. Allowance for Doubtful Accounts
C. Accounts Receivable
D. Cash

Q2. **b.** In July, customer balances of $7,000 are written off. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	7,000	
(b) _____		7,000

Choose the account for each blank:

A. Allowance for Doubtful Accounts
B. Accounts Receivable
C. Bad Debt Expense
D. Cash

Answers, Set 1:
Q1. (a) **A.** Bad Debt Expense (b) **B.** Allowance for Doubtful Accounts
Q2. (a) **A.** Allowance for Doubtful Accounts (b) **B.** Accounts Receivable

Set 2 | Write-Offs and Net Accounts Receivable INDEPENDENT The balances, the entry, then what it did to the net figure.

On **December 31, 2023** a company has adjusted balances of **$800,000** in Accounts Receivable and **$55,000** in Allowance for Doubtful Accounts. On **January 2, 2024** management learns that certain customer accounts are not collectible and authorizes a write-off of those accounts totaling **$10,000**. No other transactions occur between December 31, 2023 and January 3, 2024.

Q1. Determine each amount.

	A	B	C	D
1. Net accounts receivable on December 31, 2023	$745,000	$755,000	$800,000	$855,000
2. Accounts Receivable immediately after the write-off	$745,000	$790,000	$800,000	$810,000
3. Allowance for Doubtful Accounts immediately after the write-off	$10,000	$45,000	$55,000	$65,000
4. Net accounts receivable on January 3, 2024	$735,000	$745,000	$755,000	$790,000

Q2. Record the January 2, 2024 write-off of the $10,000 of uncollectible accounts. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	10,000	
(b) _____		10,000

Choose the account for each blank:

A. Allowance for Doubtful Accounts
B. Accounts Receivable
C. Bad Debt Expense
D. Cash

Q3. Has net accounts receivable changed from December 31, 2023?

A. No, because the write-off reduced Accounts Receivable and the Allowance for Doubtful Accounts by the same amount
B. No, because the write-off was charged to Bad Debt Expense rather than to the receivables
C. Yes, it decreased, because $10,000 of receivables was removed
D. Yes, it increased, because the contra-asset account got smaller

Answers, Set 2:
Q1. 1 A 2 B 3 B 4 B
Q2. (a) **A.** Allowance for Doubtful Accounts (b) **B.** Accounts Receivable
Q3. A

Set 3 | Effects of Write-Offs and Estimates INDEPENDENT The account-by-account effects, then the totals.

a. During the period, customer balances are written off in the amount of **$10,000**.
b. At the end of the period, bad debt expense is estimated to be **$8,000**.

Decreases are shown with a minus sign. The Allowance for Doubtful Accounts is a contra-asset, so its effect is shown on **total assets**.

Q1. Select the effect of each item on **total assets**, or on **net income** where stated.

	A	B	C	D	E
1. a. Accounts Receivable	−10,000	−8,000	No effect	+8,000	+10,000
2. a. Allowance for Doubtful Accounts	−10,000	−8,000	No effect	+8,000	+10,000
3. b. Allowance for Doubtful Accounts	−10,000	−8,000	No effect	+8,000	+10,000
4. b. Bad Debt Expense (effect on net income)	−18,000	−10,000	−8,000	No effect	+8,000

Q2. Select the overall effect of each transaction.

	A	B	C
1. a. Write-off: total assets	Decrease	Increase	No effect
2. a. Write-off: net income	Decrease	Increase	No effect
3. b. Estimate: total assets	Decrease	Increase	No effect

Answers, Set 3:
Q1. 1 A 2 E 3 B 4 C
Q2. 1 C 2 C 3 A

Set 4 | Percentage of Credit Sales INDEPENDENT The estimate, then the entry that records it.

A company had **credit sales of $250,000** and **cost of goods sold of $150,000** for the period. It uses the **percentage of credit sales** method and estimates that **1 percent** of credit sales will be uncollectible. Before the end-of-period adjustment is made, the **Allowance for Doubtful Accounts has a credit balance of $250**.

Q1. What amount of Bad Debt Expense would the company record as the end-of-period adjustment?

A. $250
B. $2,250
C. $2,500
D. $2,750

Q2. Record the end-of-period adjustment for bad debts. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	2,500	
(b) _____		2,500

Choose the account for each blank:

A. Accounts Receivable
B. Allowance for Doubtful Accounts
C. Bad Debt Expense
D. Cash

Answers, Set 4:
Q1. C
Q2. (a) **C.** Bad Debt Expense (b) **B.** Allowance for Doubtful Accounts

Set 5 | Bad Debt Expense from the Allowance INDEPENDENT One amount, worked back from the allowance.

The annual report for Fabeck Finishing Corporation contained the following information (in millions):

	2024	2023
Accounts Receivable	$455	$455
Allowance for Doubtful Accounts	35	25
Accounts Receivable, Net	$420	$430

Accounts receivable write-offs amounted to **$1** during 2024 and **$9** during 2023. Fabeck Finishing did not record any recoveries.

Q1. Determine the Bad Debt Expense for 2024 (in millions).

A. $1
B. $9
C. $10
D. $11
E. $19

Answers, Set 5:
Q1. D

Set 6 | Write-Off, Estimate, and Reporting INDEPENDENT Two entries, the reported amounts, then a judgment on the rate.

During the year ended **December 31, 2024**, Kelly's Camera Shop had sales revenue of **$170,000**, of which **$85,000** was on credit. At the start of 2024, Accounts Receivable showed a **$10,000** debit balance and the Allowance for Doubtful Accounts showed a **$600** credit balance. Collections of accounts receivable during 2024 amounted to **$68,000**.

a. On **December 10**, a customer balance of **$1,500** from a prior year was determined to be uncollectible, so it was written off.

b. On **December 31**, a decision was made to continue the accounting policy of basing estimated bad debt losses on **2 percent of credit sales** for the year.

Q1. **a.** On December 10, the $1,500 customer balance is written off. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	1,500	
(b) _____		1,500

Choose the account for each blank:

A. Accounts Receivable
B. Allowance for Doubtful Accounts
C. Bad Debt Expense
D. Cash

Q2. **b.** On December 31, the bad debt estimate is recorded. Select the account for each blank.

General Journal	Debit	Credit
(a) _____	1,700	
(b) _____		1,700

Choose the account for each blank:

A. Accounts Receivable
B. Allowance for Doubtful Accounts
C. Bad Debt Expense
D. Cash

Q3. Determine each amount reported on the December 31, 2024 balance sheet.

	A	B	C	D	E
1. Accounts Receivable	$23,800	$24,000	$24,700	$25,500	$27,000
2. Allowance for Doubtful Accounts	$800	$1,700	$2,100	$2,300	$3,800
3. Accounts Receivable, Net	$23,200	$23,800	$24,700	$24,900	$25,500

Q4. On the basis of the data available, does the 2 percent rate appear to be reasonable?

A. Yes, because the allowance still ends the year with a credit balance
B. Yes, because bad debt expense of $1,700 is larger than the $1,500 written off
C. No, it appears too high, because the allowance grew during the year
D. No, it appears too low, because $1,500 was written off when the allowance held only $600 at the start of the year
E. No, because the rate should be applied to total sales of $170,000

Answers, Set 6:
Q1. (a) **B.** Allowance for Doubtful Accounts (b) **A.** Accounts Receivable
Q2. (a) **C.** Bad Debt Expense (b) **B.** Allowance for Doubtful Accounts
Q3. 1 D 2 A 3 C
Q4. D